

Goody Consulting

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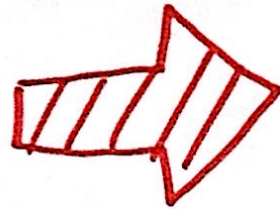
Maxim's Cakes

Maxim's Cake's Next Goal

WHERE YOU ARE NOW...

"Outdated"

- maxim's cake is leading in bakery
- well-trusted in older generation
- struggle to appeal younger generation
- high competitors



WHERE YOU WANT TO BE...

- Connects with Younger Generations
- Socially responsible
- high Youth engagement

PAST INITIATIVES

1) Product Innovation

- Launched 113 new products per year
- Collaboration with multi-brand
- seasonal cake

PROS attract curiosity, temporary buzz, seasonal sales boost

CONS too many products → customer confused
- not sustain loyalty / attract young generation

2) Marketing

- use online platform
- renovate store
- special occasion

PROS reach young audience, improve brand perception

- better shopping experience from building stores cleaner
- preserved social value of the cake

Key Takeaway ✓

Although Maxim's pros. provide excellent proposition, but high cost operation and aging brand image pose barriers for company growth.

CONS • unable to position Maxim cake in online platform world

- didn't attract young generation
- lacks of oven

- not enough budget to renovate all stores

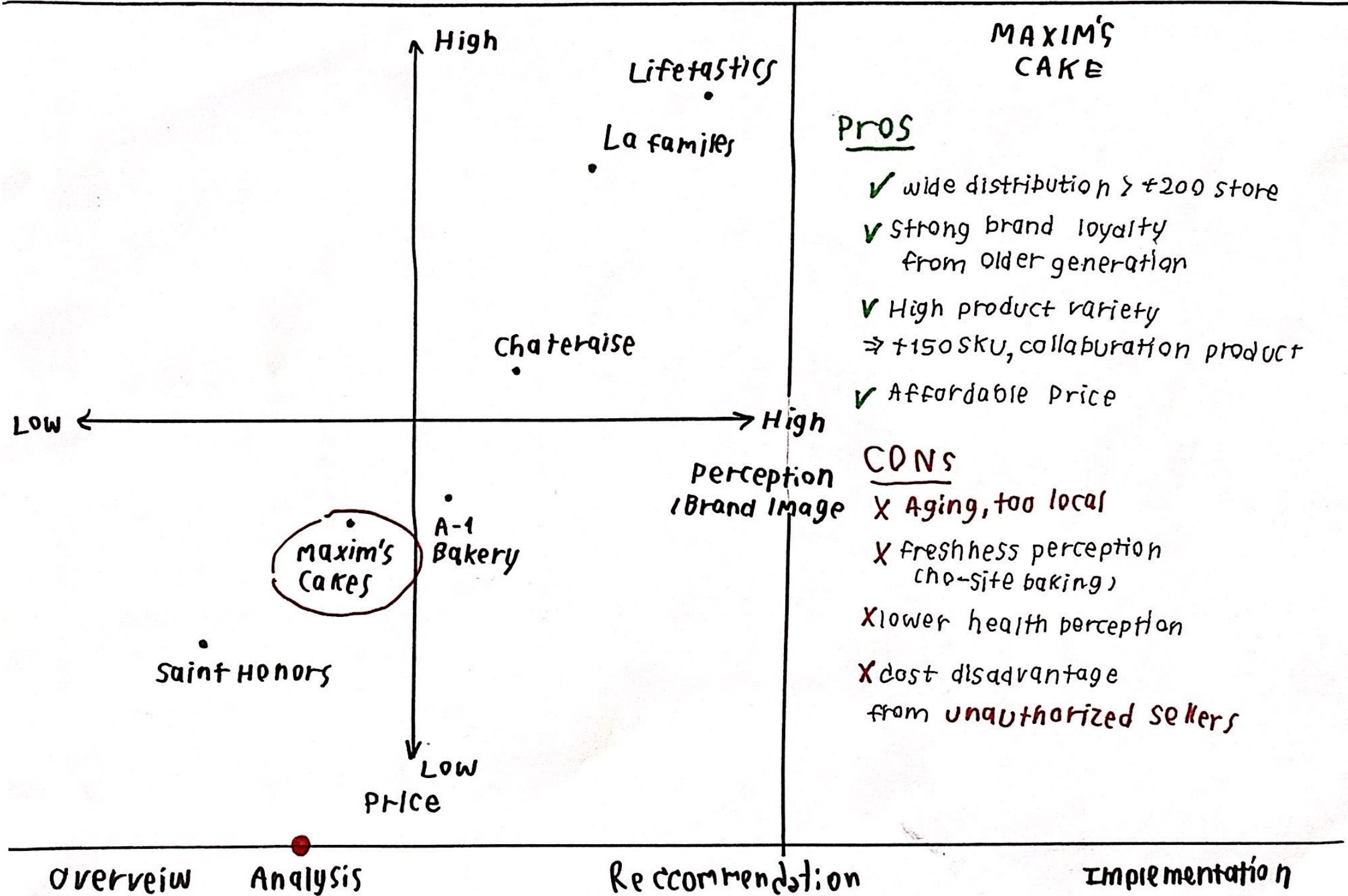
Overview

Analysis

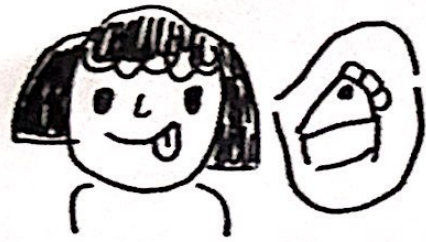
Recommendation

Implementation

COMPETITORS IN BAKERY INDUSTRY



Customer Analysis



Tiffany

Gen Z & Millennials
Age: 25 years old

 Active in Social media

♀ lived in Hong Kong

 Known Maxim since
Childhood

Needs

- cool/trendy affordable cake
- can post/show off online
- convenience pickup from online / offline sales

Value ♥

- healthy cake
- Aesthetic & social media shareability
- wants more cake option
- value freshness cakes

✓
"Maxim's needs to reposition its brand to appeal younger generation from health conscious, trend-focused through social media"

Problem Statement

Maxim's Cakes face 3 key challenges

1

Aging Brand & Negative perception

- ✓ young generation feel Maxim's cake aging, too local, not trendy
- ✓ Health trend
- ✓ low Awareness, brand image

2

Intensified Competition

- Physical competitor
offer fresh baked, health, niche cake
- Online competitor
Online platform, Influencer, unauthorized cake
- Maxim losing market share and differentiation**

3

Operational Limitation

- ✗ lack on-site baking
weaker freshness perception
- ✗ cost cutting
risk brand identity & product quality

Key Question

How can Maxim's Cake revitalize its aging brand, differentiate from Competitor and attract the younger generation in a cake market

Overview

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Strategy Overview

Current Initiatives

Aggressive Product Innovation

- 113 new products launched in 2024
(one in every 3 days)

Brand image

- Younger seen as old-fashioned

Customer Experience

- Limited space in stores
- Offline sales decline
- Not Fresh based

Opportunities

Maxim's Next

- Launch Heartbeat Cake by **Keung To**
- #SayitwithCake
- Socially responsible

Maxim's Fresh Take

Delivery APP

"Foodpanda"

Maxim's Next Gen

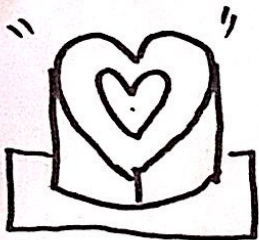


- Top Youth Icon
- Trendsetter
- Positive Image

Keung To

from MIRROR
Hong Kong Boyband

"Heartbeat Cake"

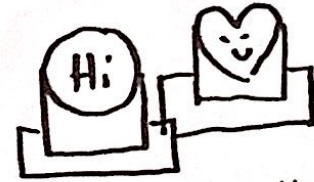


- Designed with Keung To
- Every cake sold HKD 1 is donated To Youth mental health

Social Media



~~✗~~ Say it With Cake



- Kicks off a Social Media Challenge
share moment with cake

Key action

Heartbeat Cake  Charisty  social media
by Keung To

Maxim's Fresh Take



Shop



30-35%
of HK
delivery app!

Delivery Platform (Foodpanda)

How can Maxim's Cakes leverage easily to combat declining foot-traffic!

Key Action

► Partnership Agreement

- Sign with Foodpanda

► Menu Optimization

- delivery-friendly menu

► Marketing align

- Launch Campaign
- Highlights from KOLs

► Customer Feedback

- Monitor reviews & rating

Process to Impact

- Why Foodpanda?
- Strong presence in Hong Kong
 - user-friendly interface
 - Marketing opportunities



Maxim's Cake

"Top of Mind" 2R

- Reach wider audience
- Reliable delivery network

Impact !

Expanded Sales Via the Convenience of delivery.

Enhanced Sales Via brand visibility and Customer retention.

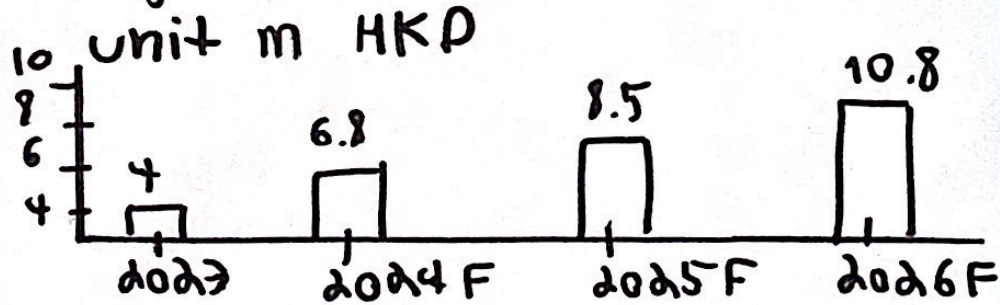
Competitive differentiation against offline-only bakery.

Implementation

	<u>2024</u>	<u>2025</u>	<u>2026</u>
<u>Key Activities</u>			
Maxim's Next			
- Heartbeat cake			
- Charity partner			
- Social media campaign			
Maxim fresh Take			
- Partnerships Agreement			
- Menu optimization			
- Marketing alignment			
- Customer Feedback			

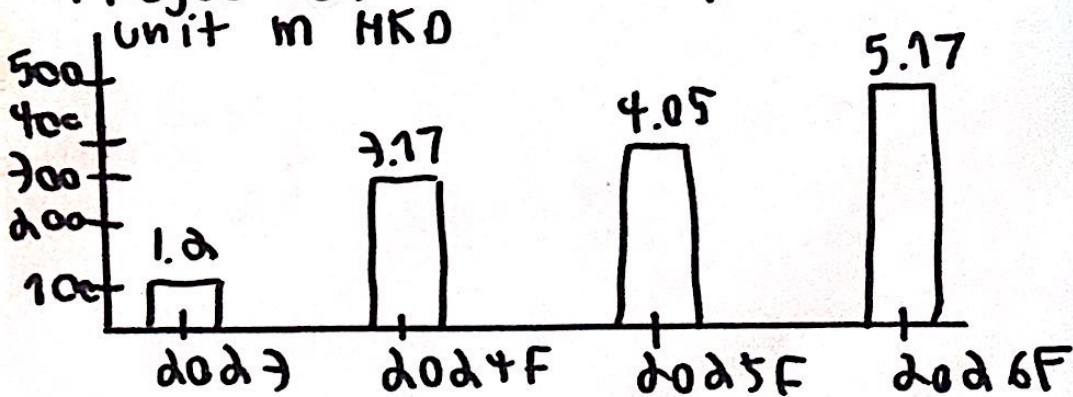
Estimation of sales & net profit

Projection of no. sales cake



17.52%
2024F - 2026F
no. sale

Projection of net profit (included shareholding expense)



17.71%
2024F - 2026F
net profit

Cost Breakdown

Initial cost implementation in 2024

Key Activity	Cost (unit: m HKD)	%
KOL	8	0.58
Food Delivery App. Service fee	160	11.7
Cost of sales	1203	87.72

Total cost in 2024 (unit m HKD)

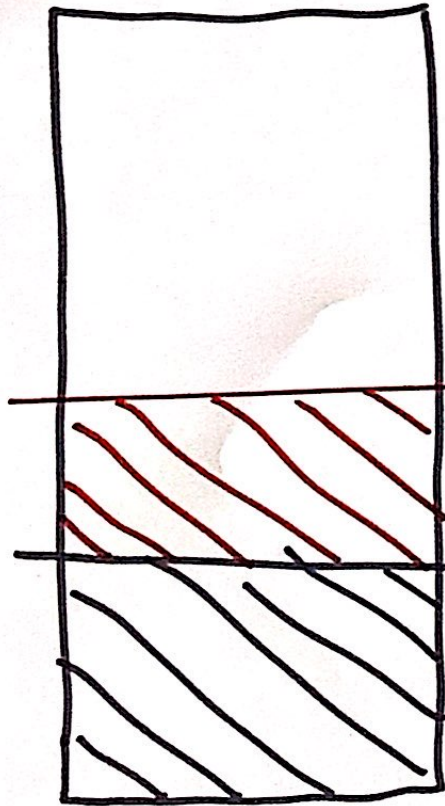
1,372 m HKD

Risk Exposure

When to aware of strategic failure?

unit: bn MKD

cost operation of strategy



should start to aware of
slow down strategic operation

exceed cost expense 1.395

total cost 1.372

} risk exposure
23 m
MKD

How we compute?

Net Income

cap. growth rate

=

634m

27.4



Impact

KPI

Current situation

Recommendation

no sale
(CAGR growth
rate)

3.3 %

17.5 %

net profit
margin

5 %

15 %

CAC

8 HKD

21 HKD

ROI

5.2 %

46.4 %

Overview

Analysis

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Risk & Mitigation

Risk Concern

1. High CAC

2. Exceed cost usage
than acceptable level

3. Exceed Factory
Production Capability

Mitigation Plan

- Track CAC by channel and adjust cost allocation
- Reduce marketing cost and troubleshoot the issue
- Provide pre-order